

SMOKY MOUNTAIN CPAS · FREE WORKSHEET

What Can I Pay Myself?

A six step worksheet from last month's deposits to a number you can trust.
From the two CPAs at Smoky Mountain CPAs.

Most owners cannot answer the question in this title. Not because the money is not there, but because nobody has ever walked them from the bank deposits to a safe number. This worksheet does that in six steps. Grab last month's bank statement, a pen, and ten minutes. We will run a worked example beside you: a business that deposited \$12,000 last month.

— The worksheet

STEP 1 Add up last month's deposits.

Business account only. Skip transfers between your own accounts and any loan money, because moving money is not earning money.

Your number: \$_____

Example: \$12,000

STEP 2 Subtract money that was never yours.

Materials and product costs that pass straight through, sales tax you collected, consignment or vendor splits. What remains is your real revenue, and it is the honest base for everything below.

Your number: \$_____ minus \$_____ = \$_____

Example: \$12,000 minus \$2,000 in product and materials = \$10,000 real revenue

STEP 3 Set aside taxes: 15 percent of real revenue.

This slice belongs to the IRS. Move it to a separate account before it looks spendable. (Your tax preparer sets your true number. Fifteen percent is the habit that makes sure the cash exists.)

Your number: \$_____ x 0.15 = \$_____ set aside. Running total: \$_____

Example: \$10,000 x 0.15 = \$1,500 set aside. Running total: \$8,500

STEP 4 Set aside profit: 5 percent of real revenue.

The reward for owning the thing, separate from your paycheck. If cash is tight, start at 1 percent. Something is the rule, the size can grow.

Your number: \$_____ x 0.05 = \$_____ set aside. Running total: \$_____

Example: \$10,000 x 0.05 = \$500 set aside. Running total: \$8,000

STEP 5 Subtract the next 30 days of bills.

List every bill due in the next 30 days: rent, payroll, software, insurance, phone, minimum debt payments. That total is your monthly nut. If you have never listed it, this step alone is worth the worksheet.

Your number: Your monthly nut: \$_____. Running total: \$_____

Example: \$8,000 minus a \$4,800 monthly nut = \$3,200

STEP 6 Round down to a number you can repeat.

What remains is the ceiling, not the paycheck. Round down to a clean number and leave the difference in the account as a buffer. Then pay yourself that same amount next month, and the month after. Consistency beats one fat draw followed by three empty ones.

Your number: Your safe owner pay: \$_____

Example: \$3,200 rounds down to \$3,000 safe owner pay, with \$200 left as buffer. That is 25 percent of deposits, paid as two transfers of \$1,500 on the 10th and the 25th.

— Two honest footnotes

If Step 6 came out at zero or below, the worksheet did not fail. It just told you the truth a year before your accountant would have. The fix starts with the Step 5 list: sort every bill into critical, helpful, or cuttable, and cut the third pile this week.

If your revenue swings month to month, run this worksheet on your worst recent month, not your best one. A paycheck built on the worst month survives all of them.

Want two CPAs to check your math?

This worksheet is only as good as the deposits and bills you feed it. If your books are behind, or payouts from Shopify or your card reader are hiding fees inside your deposit numbers, your safe pay number is off and you cannot see by how much.

We are Brooks and Caroline, the two CPAs behind Smoky Mountain CPAs in Knoxville. We keep books clean and tax-ready for ecommerce sellers, boutiques, and contractors, and Brooks is a Certified Profit First Professional. We build clients a cash system where the pay-yourself number is one you can see any day of the week, and we watch taxes all year so your pay number and your tax number stop surprising each other.

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Or start with the \$497 Diagnostic Review: two CPAs go inside your actual QuickBooks and tell you the truth in writing and on video, including what you can actually pay yourself.

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